

Additional Exercises FINANCE:

Exercise 1:

The financial director of CIRCONSA is working on its financial statements (balance sheet and Income Statement) as of 30 June 2015 (30/06/2015). It has the balance of the company as of 31 December 2014 (31/12/2014) - which is included below - and the following operations that have taken place during the period (from 1 January 2015 (01/01/2015) to 30 June 2015 (30/06/2015)). The company dedicates to the sale of a certain product.

I. The company has sold during the semester 1200 units of product at a price of 20 mu / unit (every month the same amount, 200 u.). The payment condition agreed with the customers implies that this will occur 30 days after the sale. A very important customer (representing 30% of the sale), who has bought an equal amount each month, has been given a discount of 10% on their purchases.

li. During the semester, 1000 units of product were purchased (40% in the first quarter and 60% in the second) at a price of 12 mu / u. The payment condition agreed with the suppliers is payable to 90 days.

lii. At 31 December 2014 (31/12/2014) there is a stock (stock in stock) of 200 units valued at 12 mu / u.

lv. During the first quarter of 2015, the taxes and outstanding supplier balances of the previous year were paid.

v. During the first quarter of 2015, it charged customer debt outstanding from the previous year, except 300 m.u. from a customer who requested to defer payment until July 2016.

vi. Personnel expenses have been 350 mu / month (to which 150 must be added for Social Security) and general expenses of 300 mu / month, Personnel and Social Security expenses are paid in the month in Which are produced and overheads two months after being made.

vii. It carried out a renting contract on 1 April 2015 (01/04/2015) (with a duration of 3 years) with a specialized company for the computer equipment, for a value of 400 mu monthly. The contract establishes a condition of payment to 120 days (payment at the end of each month).

viii. On 1 April 2015 (01/04/2015) it bought a patent for a value of 2400 m.u., to be paid on 1 July 2015 (01/07/2015). The amortization of the patent will be made in 4 years.

ix. The company has requested a credit of 2,000 m.u. on 1 February 2015 (01/02/2015), to be returned a year later and with an interest of 12% per annum. The payment of

interest and the total repayment of principal will be made on 1 February 2016 (01/02/2016).

x. The company had on 31 December 2014 (31/12/2014) only a machine purchased on 1 July 2014 (01/07/2014) which is amortized linearly with a residual value of 20%.

xi. The company has made a capital increase (fully disbursed and without issue premium) for a value of 10,000 m.u. on 1 February 2015 (01/02/2015). On the same date he bought a new machine that cost 12,000 m.u., of which he has paid 8,000 m.u.. In cash, postponing the payment of the remainder until 1 July 2015 (01/07/2015). This machine will be amortized in 4 years with residual value zero.

xii. Consider in your calculations that the company would pay a 20% corporate tax (although in reality this is not so because it does not correspond to the corporation tax corresponding to 31 December 2015 (31/12/2015)). NOTE: To simplify assume that these taxes would be counted in the balance at 30 June 2015 (30/06/2015) as "taxes to pay".

**BALANCE 31 December
2014 (31/12/2014)**

ASSETS	m.u.	LIABILITIES	m.u.
CURRENT ASSETS	5400	CURRENT LIABILITIES	800
Cash	1200	Unpaid taxes	350
		Accounts payable (suppliers)	450
Accounts receivable	1800		
Inventory (stock)	2400		
NON CURRENT ASSETS	450		
Equipment (Machinery)	500	OWNERS EQUITY	5050
Accum depreciation	50	Retained Earnings	850
		Paid-in capital	4200
Total Assets	5850	Total Liabilities+OE	5850

Question:

Calculate the balance sheet and the Profit and Loss account of Circonsa at 30 June 2015 (30/06/2015).

Exercise 2:

Three entrepreneurs started a business project that consisted of establishing the company called INFOPYMES on 1 January 2016 (01/01/2016). This company's goal is to provide on-line information services that were relevant to small and medium enterprises, "start-up" and potential entrepreneurs.

The investment required for the creation of the company includes the purchase and acquisition of various computer equipments. This equipment, amounting to a value of € 100.000 was acquired on 1 January 2016 (01/01/2016). This amount will be paid to suppliers after three months i.e. on 1 April 2016 (01/04/2016). This investment has a useful life of 5 years (until 31 December 2020 (31/12/2020)) and will be depreciated linearly, with no residual value.

The company offers information through online consultations. These online consultations fetched the company revenues of € 300.000 in 2016. INFOPYMES operates from a rented premises that has a monthly cost (from 1 January 2016 (01/01/2016)) of 1.000 €/month.

Salaries and social security costs (contribution of the company to the Social Security) of the permanent employees amounted to 5.000 € per month (from 1 January 2016 (01/01/2016)). Further, electricity, phone, etc. led to an additional monthly cost (from 1 January 2016 (01/01/2016)) of 500 € / month.

To respond to increased online inquiries, INFOPYMES hired additional staff. The total amount of variable wages to staff who managed these online consultations amounted in 2016 to 174.000 €.

To finance the venture, the partners contributed an initial capital of 100.000 €. A bank agreed to grant the company a loan of 100.000 €. The yearly interest on this loan was 10% while the duration of this loan was for 5 years, i.e. from 1 January 2016 (01/01/2016) until 31 December 2020 (31/12/2020). Each 31 December, the company must return to the bank an amount of 20.000 € and should also pay, the due interest (10%) calculated from the loan value at the beginning of each year.

The financial results of the company are declared at 23:59 hrs on 31 December (after having made all payments and receipts indicated, including interest, wages, Social Security, etc.) and immediately making a payment of the corporation tax at 30% on the Profits obtained (by way of corporation tax). Dividends are distributed to the shareholders at 40% of the profits after taxes and the final balance is carried out at 24 h.

Required:

- 1.- Construct the Income Statement (Profit and Loss Account) for the period ending 31 December 2016 (31/12/2016).
- 2.- Assuming that the company has paid the income tax and distributed the dividends, construct and justify the balance sheet at 24:00 on 31 December 2016 (31/12/2016).
3. Construct and justify the balance sheet at 24:00 on 31 December 2017 (31/12/2017). Assume that no new investments were made in 2017. In addition, the retained earnings and the cash balance at the end of 2017 remained unchanged with respect to values of 2016
4. . In the case of the previous section determine the values of ROA and ROE ratios in 2017.

Exercise 3:

The company Wifinet S.L. was incorporated on 1 January 2016 (01/01/2016) with a registered capital of 6.003 m.u., having an objective of providing wireless Internet in the Alicante coast. The following information applies to fiscal year 2016:

To finance the operations of the company, it had also taken a bank loan of 2.000 m.u. at 5% annual interest (payable at the end of each year), the principal being repayable in 2019. In 2016, the company invested in technical equipment worth 5.371 m.u. The life of the equipment purchased was 20 years and at the end of 2016 the company recorded in accumulated depreciation of 26 m.u. for those assets. Also a further investment of 206 m.u. in license fees was made by 31 December 2016 (31/12/2016) to use certain technologies. They use licences for 5 years.

In addition, the company spent 636 m.u. to purchase financial shares of other companies. Most of 2016 was devoted to assembly and commissioning of infrastructure network and only the actual business work was started in the last two months. At the end of 2016, its balance sheet reflected a loss of 340 m.u. and the cash in hand and bank account was 1.476 m.u.

In 2017, the results were positive. However, the company decided not to distribute any dividends to its shareholders but to retain all its profits in order to reduce the loss of the previous year.

The following information applies to fiscal year 2017:

- For Internet and VOIP, the average number of customers during 2017 was 5.000 with an average revenue of 0,032 m.u. / month per client in subscription fees. Additionally, the company billed 46 m.u. for the Online sales of other products. At the end of 2017 Wifinet had a receivables of 164 m.u. from their customers.
 - The stocks were exhausted at the end of 2016. The company purchased supplies of materials which were to be installed in the homes of their customers. The purchases amounted to 680 m.u.. Of these purchases, an amount of 560 m.u. was paid immediately and the payment of remaining amount was deferred to the following year. Year 2017 sales consumed half of the purchased goods.
 - Staff costs, including salaries and related costs were 559 m.u. and paid in full in 2017. In addition the company paid an additional amount of 312 m.u. for supplies and outside services.
 - Other administrative expenditures totaled 300 m.u. The company postponed the payment of 60% of this to the following year.
 - The applicable corporation tax rate was 30% and payable in the first quarter of 2018.
1. Prepare the income statement of Wifinet for the year 2017.
 2. Construct the balance sheet as at 31 December 2017 (31/12/2017).
 3. Indicate which items of the balance sheet will be affected and amount of the affect if the company paid a dividend of 20% of net profit at 24:00 on 31 December 2017 (31/12/2017).
 4. Indicate which items of the balance sheet would be affected and the amount affected if the decision was made before the end of 2017, to distribute a dividend of 20% of net profit and to pay it on 30 June 2018 (30/06/2018).

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Exercise 4:

CERÁMICAS DEL MEDITERRÁNEO (CEMED) MEDITERRANEAN POTTERY, is a company dedicated to the manufacturing and distribution of ceramic tiles for construction, located in the city of Valencia. This company has the following information:

CEMED was created on 1 January 2016 (01/01/2016) by three partners, with a contribution of each of 7 m.u. These contributions were made at that time fully in cash.

To start its production, on 1 February 2016 (01/02/2016) the company purchased a piece of land worth 10 m.u., paying 50% in cash and leaving 50% to be paid one year later. On the same date, they purchased the building on which the factory was installed for which they paid 6 m.u. in cash, financing this amount with a mortgage at 5% annual interest for ten years. It is considered an amortization period of 20 years factory. Amortization is linear and with a residual value of zero. Financing conditions negotiated with the financial institution stated that they are supposed to return each 31 December 10% of the mortgage principal plus interest accrued annually.

To deal with other investments, the company gets an additional loan of 5 m.u. from a bank on 1 April 2016 (01/04/2016), agreeing to return 20% of the principal each semester for the next 2 ½ years to complete the entire loan (the first repayment will take place on 1 October 2016 (01/10/2016), the second on 1 April 2017 (01/04/2017), and so on) and a 6% annual interest. They also will pay interest semiannually, calculating such interest on the amount actually due in that semester. Payment of interest will be the day after the end of the semester.

With the money obtained through this loan, CEMED, on the same date purchased machinery for its production process for a price of 3 m.u. with 60 days payment delay. It is considered that the useful life of the machine is 10 years with straight-line depreciation and residual value of zero.

On 1 July 2016 (01/07/2016), in order to begin production CEMED acquires 150 tons of raw material at a cost of 0.03 m.u. / ton. Half of these raw materials were used in the production process of the products sold. CEMED pay their provider for 60% of the total cost of the raw material to 90 days, while the other 40% remains pending to be paid at the end of the year (does not get paid within the year).

Revenue from sales of manufactured products reached 50 m.u., out of of which at 31 December 2016 (31/12/2016), only 70% of sales had been collected, with the remainder pending payment by their customers

Throughout the year 2016 the company incurred costs in personnel plus Social Security of 0.8 m.u. Social Security paid in full in 2016.

The corporation tax on profits for the company CEMED is 30%. The taxes are settled by calendar year (January to December) and paid to the Treasury on 15 January of the following year (15/01/2017).

The company has set a growth strategy, holding as reserves for this purpose 40% of annual net profits. The dividends are payable on 31 December 2016 (31/12/2016).

- 1) Prepare the income statement and the balance sheet at 24:00 on 31 December 2016 (31/12/2016), justifying and explaining how it is done and detailing, where appropriate, the intermediate calculations.

- 2) State and explain what changes would occur on the various items of the income statement and the balance sheet if the company had negotiated with the supplier of raw materials 5% discount on the total price of the purchase, in exchange for that payment of the 60% who had agreed to 90 days, was made in cash. In which case is the profit higher?. Discuss reasoned, why.

